



“Historically, gold has lowered volatility and given strong diversification benefits during market stress, making it a core holding for stability, protection, and capital preservation”

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“While gold is viewed as a long-term anchor, silver is positioned as a high-beta satellite holding because its performance is more cyclical”

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is physical gold, investors may consider MCX Gold Guinea or Gold Petal futures contracts, which offer 999 purity gold with a digital delivery option, ensuring better standardisation, transparency, and ease of settlement,” says Saumil Gandhi, Senior Analyst - Commodities at HDFC Securities.

INCREMENTAL INVESTMENT

At current price levels, aggressive lump-sum investments in precious metals may not be optimal for most households. “A more prudent approach is periodic portfolio review and rebalancing, particularly for investors whose gold allocation has increased meaningfully due to recent price appreciation,” says Pathak.

For those looking to increase exposure, systematic investment routes mitigate timing risk and smooth entry costs. Completely avoiding fresh allocation due to opportunity costs in equities or other growth assets may undermine portfolio stability as the primary role of precious metals is risk diversification rather than return maximisation.

Agrees Akash Hariani, Joint MD, Motilal Oswal Private Wealth. “For households already holding gold and silver, the most sensible approach is rebalancing towards long-term target allocations. For new or incremental exposure, staggered accumulation at a current level is preferred over aggressive buying,” he says.

“Investors should also rebalance more frequently in silver than in gold. Sharp rallies in silver are often followed by deep corrections. Gold, on the other hand, rewards patience,” says Jain.

Gold and silver remain relevant—not as trades, but as tools. Gold provides stability when markets fracture; silver adds selective upside tied to growth cycles. **BT**

gold dampens volatility without materially diluting equity-driven returns,” says Singh.

Mid-career professionals, whose incomes and portfolios are more stable, should focus on balancing growth with stability and diversification. “At this stage, an 8–12% allocation to precious metals can improve portfolio resilience. Gold should continue to form the core holding, while silver may be introduced selectively to capture cyclical and industrial-demand-led upside,” says Singh.

For high-net-worth households, capital preservation and protection against systemic, policy, and currency risks become important. Precious metals can therefore be a larger strategic allocation, typically 12–18%, and in some cases modestly higher during periods of elevated macro

uncertainty. Even here, gold remains the anchor, while silver is best positioned as a smaller, tactical exposure.

SIP, ETFs TAME SWINGS

SIPs are the best way to accumulate gold and silver as price and time should not matter for long-term holders. “Products like ETFs are one of the alternatives for first-time earners/mid-career professionals” says Mer. For HNIs, too, ETFs are best for accumulation; they can earn a little higher by leveraging the derivatives market.

Investors who are planning to purchase jewellery in the near term may consider physical gold. However, physical holdings generally carry liquidity risk, potential discounts at the time of resale, and concerns related to storage, insurance, and theft. “If the preference